

SHANON HSUAN-MING HSU

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Education

University of Chicago , Ph.D. & Postdoctoral Scholar in Economics	<i>2018–2025 (Expected)</i>
Columbia University , M.A. Quantitative Methods in the Social Sciences	<i>2014–2016</i>
National Taiwan University , B.S./A. Chemical Engineering & Economics	<i>2008–2013</i>

References

Professor Richard Hornbeck (Co-chair) University of Chicago Booth School of Business richard.hornbeck@chicagobooth.edu (202) 494-0722	Professor Oeindrila Dube (Co-chair) University of Chicago Harris School of Public Policy odube@uchicago.edu (773) 702-8400
Professor Jonathan Dingel University of Chicago Booth School of Business jdingel@chicagobooth.edu (773) 834-5458	Professor Michael Dinerstein Duke University Department of Economics michael.dinerstein@duke.edu (773) 702-8400

Research and Teaching Fields

Primary:	Urban Economics, Economic History, Development Economics
Secondary:	Political Economy

Job Market Paper

Coercive Growth: Forced Resettlement and Ethnicity-Based Agglomeration

Abstract: How do social divisions affect the benefits of agglomeration? While the clustering of people can enhance productivity through social interactions, social divisions such as ethnic segregation and tension may limit these gains. To answer this question, I leverage an ethnic-based resettlement program that forcibly relocated 600,000 rural Chinese into compact villages in 1950s British Malaya. I find that, decades later, areas with higher resettlement had persistently higher population densities and concentrations of Chinese, driven by both the program's direct impact and internal migration. Moreover, these areas were wealthier, more industrialized, and exhibited greater labor market specialization.

However, the economic benefits primarily accrued to the Chinese, while other ethnic groups saw only marginal gains when geographically integrated with the Chinese and working in non-agricultural sectors. To assess the overall impacts of the program, I estimate a quantitative spatial model that allows local agglomeration externalities to vary by sector and ethnic composition. While the resettlement increased aggregate output, the gains were insufficient to offset the welfare losses from the program's coercive nature.

Working Papers

Gaining Steam: Incumbent Lock-in and Entrant Leapfrogging (with Richard Hornbeck, Anders Humlum, and Martin Rotemberg) Revise and Resubmit, *Journal of Political Economy*

Abstract: We examine the long transition from water to steam power in US manufacturing, focusing on early users of mechanical power: lumber and flour mills. Digitizing Census of Manufactures manuscripts for 1850-1880, we show that as steam costs declined, manufacturing activity grew faster in counties with less waterpower potential. This growth was driven by steam powered entrants and agglomeration, as water powered incumbents faced switching barriers from sunk costs. Estimating a dynamic model of entry and steam adoption, we find that the interaction of switching barriers and high fixed costs creates a quantitatively important and socially inefficient drag on technology adoption.

Work in Progress

The Price of Peace: Ceasefires, Lucrative Geography, and Economic Divergence in Myanmar

Abstract: Strategies aimed at winning the hearts and minds of local populations are increasingly considered more effective than military interventions in state-building and counterinsurgency. However, their long-term economic effects remain unclear. This paper examines the economic impacts of Myanmar's ceasefire agreements in the early 1990s, following over 30 years of civil conflict. Using difference-in-differences and triple-difference regressions, I find that economic conditions—such as nighttime light density and educational attainment—deteriorated in regions more suitable for opium cultivation compared to less suitable areas. Ethnic armed organizations in opium-suitable regions were also more likely to sign ceasefires. Anecdotal evidence suggests that these ceasefires effectively bought out non-state actors, while the high profits from the drug trade may have reduced political accountability and incentives for infrastructure investment in opium-suitable regions. To explore this mechanism, I am working on measuring infrastructure development over time using historical maps and satellite imagery.

Awards, Scholarships, and Grants

Becker Friedman Institute Data Acquisition Grant (\$10,000)	2023
University of Chicago Data Acquisition Grant (\$3,000)	2023
Pearson Institute Research and Innovation Fund (\$16,200)	2022, 2023
Development Economics Research Fund (\$15,000)	2022
University of Chicago Social Sciences Division Fellowship	2018–2024

Teaching Experience

Introduction to Development Economics (U)	TA for Srinivasan Vasudevan	2022
Introduction to Econometrics (U)	TA for Srinivasan Vasudevan	2022
The Elements of Economic Analysis II (U)	TA for Ricardo Quineche	2022
Applied Microeconomics in Economic History (G)	TA for Richard Hornbeck	2022
Econometrics (U)	TA for Christopher Dobronyi	2021
Microeconomics (MBA)	TA for Richard Hornbeck	2020
Econometrics (U)	TA for Marinho Bertanha	2019

Research Experience and Other Employment

Research Assistant for Richard Hornbeck and Anders Humlum, University of Chicago	<i>2020–2021</i>
Research Assistant for Dave Donaldson and Dina Pomeranz, University of Zürich	<i>2016–2018</i>
Research Assistant for Brendan O’Flaherty, Columbia University	<i>2015–2016</i>
Research Assistant for Melissa Dell, Harvard University	<i>2015</i>

Professional Experience

Conferences	<i>NEUDC 2024, Mountain West Economic History Conference 2023</i>
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Additional Information

Citizenship	Taiwan
Programming Skills	R, Julia, Matlab, STATA
Languages	Mandarin Chinese (Native), English (Fluent)